



In the scenarios mentioned earlier, if we looked at the final financial position after exercising the options, the automatic choice would be option A in both cases as it would leave us with Rs.1500.



Impact of Loss Aversion

- A. Investors tend to prefer fixed income investments to stocks.** Witness the period after the bursting of the dotcom bubble till the beginning of 2003. Everyone was so afraid of losing that they preferred to stay invested in fixed income securities. They shunned equities although that was the best time to invest because of attractive valuations and good dividend yields. The pain of investors losing fortunes in technology stocks was so vivid and true that investors were not willing to risk anything in the stock markets. The emotion of fear was so strong it created loss aversion. Actually the right time to invest is when others are scared.
- B. Investors tend to take their profits very early.** To be successful in the stock markets it is important to ride the winners and discard the losers. However, loss aversion makes us ultra conservative so we book profits very early. We all suffer from loss aversion and that is the reason we find that winners get small amount of profits and losers pile up huge losses. Winning streaks tend to be short-lived.
- C. Investors take more risks when threatened with a loss.** They tend to lose their balance when confronted with a loss and become more daring and venturesome. This is not due to courage but because of madness caused by the pain of a loss. One of our clients bought 10 low valued stocks all quoting below par. When I questioned his wisdom of putting his hard-earned money in such stocks, he replied that if just a couple of them turned out to be multi-baggers he would make good money. He believed so strongly in his strategy that he held on to over a hundred such junk stocks in the hope that one day he would make it big. Since he was losing he kept taking bigger risks and increased his exposure.